

Napster's revenue plans included selling advertising space on their Web site and use their brand equity to sell T-shirts. But the revenue generated using such an idea amounted to peanuts and so Napster was considered a free service and users just kept logging on and downloading.

However, there was one slight problem. The music industry in America is one of the biggest worldwide. Napster only dealt with music files and not with any other types such as documents or applications. This kept it out of the legal roadblocks but eventually the music industry's feathers were ruffled.

Using legal resources, the Napster service was shut down by the American Music Industry that cited several reasons including artists not receiving their rightful dues due to the Napster service. Finally, Napster was shut down and merged with Bertelsmann (BMG Music). In its current avatar, Napster is charging an access fee for all their services and is now selling music online as well.

But this was not the end of the world for P2P users. By the time Napster got into a legal tangle with the authorities, networks such as KaZaA and eDonkey had already arrived and users were switching to these networks, fast.